

IMARTICUS LEARNING

Custodian Banks & Reconciliations



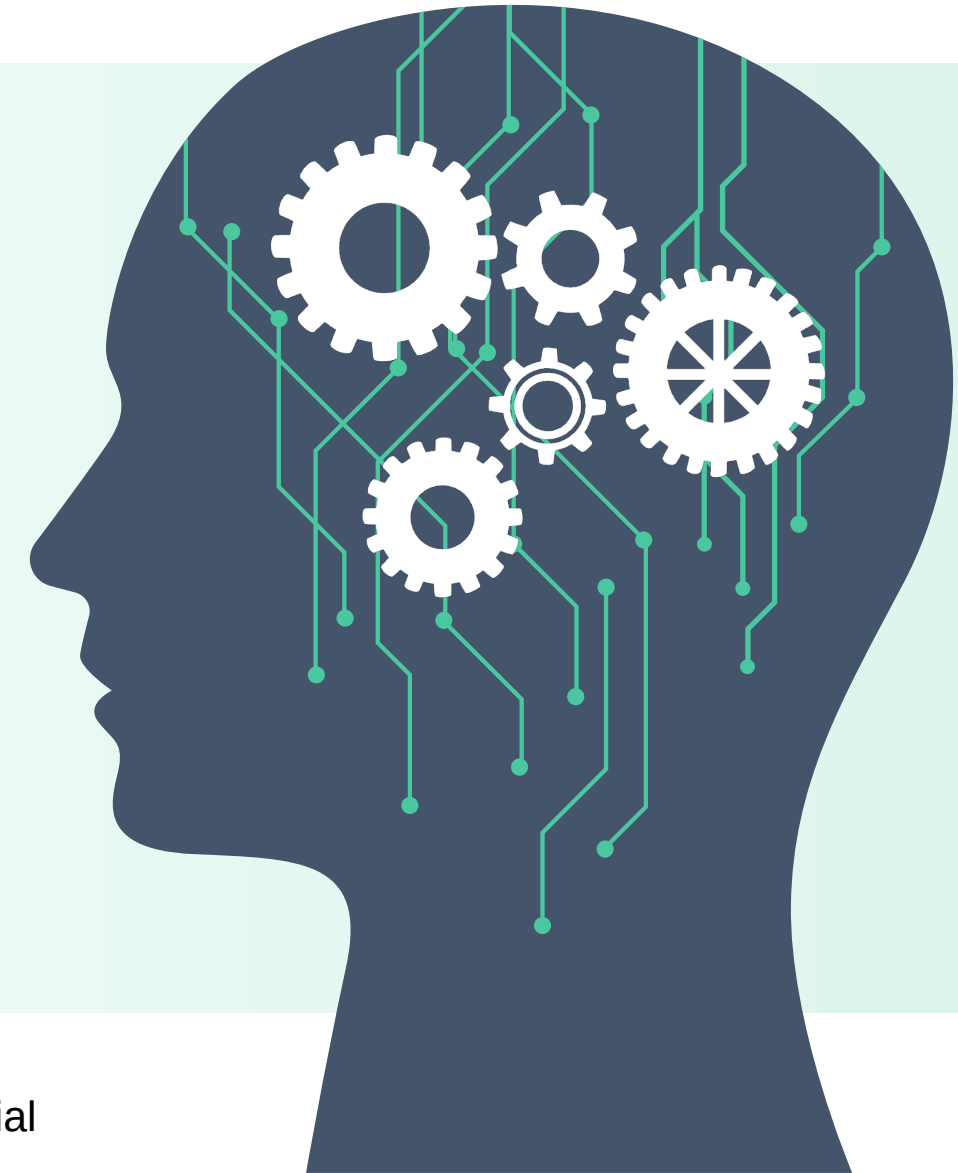
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YOU ARE GOING TO LEARN…

- Custodian Bank & their Role & Functions
- Types of Custodian Bank
- Reconciliation & its Purpose
- Importance of Recon
- Recon Process
- **Types of Recon**
  1. Internal
  2. External



CUSTODIAN

A custodian is a financial institution responsible for safeguarding a firm's or individual's financial assets

- When an institutional investor invests in securities it will commonly employ the services of a custodian.
- This is because a custodian provides various activities which will support not just the trading function, but also the operational activities involved in the transaction.



SERVICES PROVIDED BY A CUSTODIAN

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Legal, compliance and tax support services

Settlement of any purchases and sales

Deliveries in/out of securities and currencies

Lend and/or borrow securities

What more does a custodian do?

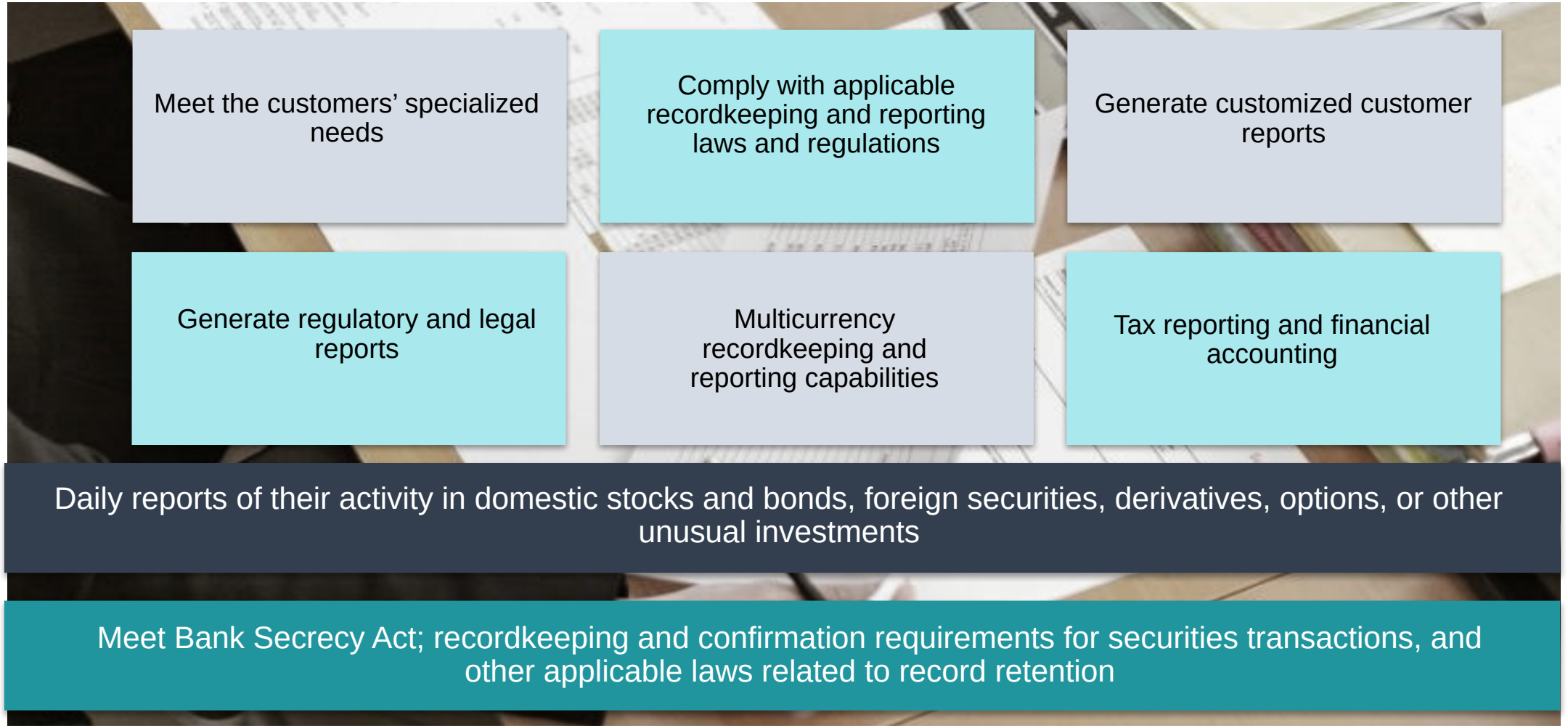
Safekeeping assets, securities, bank accounts and cash, and warehouse receipts

Maintain currency/cash bank accounts, margin accounts, comply with collateral management requirements

Voluntary and involuntary corporate actions

REPORTING AND RECORDKEEPING

Part of any custodian's business strategy is to provide its customers with recordkeeping and reporting services. Services include:



TYPES OF CUSTODIANS

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Term	Description	Example
Custodian	An organisation that holds securities and cash on its clients behalf and may effect trade settlement on its client behalf	Deutsche Bank Domestic custody services
Global Custodian	As per custodian, but has a network of local(or sub-custodian) that hold securities and cash and effect trade settlement on behalf of the global custodian	State Street , Citigroup, BoNY, Paribas
Local Custodian	A custodian that operate with in a specific financial center	Credit Lyonnais Paris, Banco Espirito Santo Lisboa
Sub -custodian	A custodian within a Global custodians network of custodians	**Citibank Milan Citibank Madrid**

GLOBAL CUSTODIAN

A global custodian provides investment administration for investor clients, including processing cross-border securities trades and keeping financial assets secure (i.e., providing safe custody) outside the country where the investor is located.

- Some global custodians maintain an extensive network of branches globally and can meet the local custody needs of their investor clients by employing their own branches as local custody providers.
- Citi maintains a proprietary branch network covering 57 markets

Few Global Custodians

STATE STREET.

Northern Trust

BNY MELLON

citigroup

SUB/LOCAL CUSTODIAN

- A sub-custodian effectively serves as the eyes and ears of the global custodian in the local market, providing a range of clearing, settlement and asset servicing duties
- Will lobby the market authorities for reforms that will make the market more appealing and an efficient target for foreign investment.

In locations where a global custodian does not have its own branch, a global custodian may appoint an external agent bank to provide local custody services

Few Sub/Local Custodians

INTESA SANPAOLO

IL&FS Securities Services Limited

MUFG Bank of Tokyo-Mitsubishi UFJ

WHAT IS RECON?

- Reconciliation is the Control Process by which 2 or more sets of data are compared and any discrepancies are investigated and documented through to resolution, including formal reporting and escalation.

- Reconciliation of positions and trades within internal books and records with the outside world is of utmost importance in ensuring that any Bank remains in Control of its assets and liabilities
  - The primary purpose of reconciliation is to identify and resolve any differences between the two sets of records, which may arise due to various factors such as errors, omissions, or timing differences.

WHY RECON?

- Irrespective of what part of the company you are involved with, you will always need to know what your positions are, whether they are securities-related or cash-related. A problem arises when the position that you think you have either does not exist or indicates a different amount to what you actually have. In other words, you need to be sure that the position you think you have does actually exist

- Total Position for securities total balance for cash can go wrong, if the individual transaction for cash and securities goes wrong.

PURPOSE OF RECONCILIATION

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Here are some key aspects and purposes of reconciliation:

1	**Verification of Accuracy**	Reconciliation is used to verify that the data or transactions in one set of records match those in another set. This is done to ensure that all information is accurately recorded and accounted for
2	**Identification of Discrepancies**	During the reconciliation process, any discrepancies or differences between the two sets of records are identified. These discrepancies could be in the form of missing items, incorrect amounts, or other inconsistencies.
3	**Resolution of Differences**	Once discrepancies are identified, the reconciliation process typically involves investigating the root causes of the differences and taking corrective actions to resolve them. This may involve making adjustments, corrections, or further investigations to rectify the issues.
4	**Enhanced Transparency**	Reconciliation enhances transparency by providing a clear and documented record of the steps taken to ensure data accuracy. This is important for audit and compliance purposes.

PURPOSE OF RECONCILIATION

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5 Risk Management

Reconciliation is an essential part of risk management. It helps mitigate operational and financial risks by identifying and rectifying errors and discrepancies before they can have a significant impact.

6 Financial Reporting

In accounting, reconciliation is crucial for producing accurate financial statements. It involves comparing the general ledger with subsidiary ledgers, bank statements, and other financial records to ensure that the figures match.

Overall, reconciliation is a systematic and methodical process that contributes to the accuracy, transparency, and integrity of financial and operational data. It is essential in various business contexts to maintain trust, meet regulatory requirements, and ensure the proper functioning of financial and operational systems.

EXAMPLE OF WHY RECON?

- As an example of a potential problem, your records show that you have USD 1,000.00 in your bank account. You receive a bank statement showing a credit balance of USD 1,000.00. You then make a payment of USD 900.00 on the assumption that you have sufficient funds in your account.
- Thinking that you have a credit balance of USD 1,000.00, you are surprised when you receive a subsequent statement stating that you are several hundred US dollars overdrawn. In addition to being overdrawn, you will be liable for overdraft interest. Why are you overdrawn? What has gone wrong on your bank account?
- This is where a reconciliation would have been helpful. A thorough investigation would have shown, for example, that you had recently issued a cheque for USD 350.00 but failed to book it into your records. Had you done so, your records would have shown a balance of USD 650.00 (not USD 1,000.00), and it would have been clear that making the payment of USD 900.00 would have taken your account into debit (i.e. overdrawn).
- The fact that the cheque had not cleared only made the situation worse, as you looked at the bank balance before deciding to pay the USD 900.00.

IMPORTANCE OF RECON

It serves several critical purposes that contribute to the accuracy, transparency, and efficiency of an organization's activities. Here are some key reasons why reconciliation is important:

- **Accuracy and Data Integrity:** Reconciliation helps ensure that financial and operational data is accurate and reliable. By comparing and verifying records, discrepancies, errors, and omissions can be identified and corrected, preventing inaccuracies in financial statements and reports.

- **Risk Mitigation:** Reconciliation is a key component of risk management. It helps identify and address errors and discrepancies before they can lead to financial losses, compliance issues, or other operational risks.

- **Compliance:** In many industries, organizations are subject to regulatory and compliance requirements that mandate reconciliation processes. Compliance with these regulations is essential to avoid legal penalties and maintain the trust of stakeholders.

- **Transparency:** Reconciliation enhances transparency by providing a documented trail of actions taken to ensure data accuracy. This transparency is essential for audits, regulatory reporting, and building trust with stakeholders.

IMPORTANCE OF RECON

- **Operational Efficiency:** Accurate reconciliation processes lead to greater operational efficiency. They reduce the time and effort required to identify and rectify errors, resulting in a smoother and more efficient workflow.
- **Financial Reporting:** In accounting, reconciliation is vital for producing accurate financial statements. It involves comparing general ledger accounts with subsidiary ledgers, bank statements, and other financial records to ensure that the figures match. Accurate financial reporting is essential for making informed business decisions and maintaining investor confidence.
- **Prevention of Fraud:** Reconciliation can help identify discrepancies that may be indicative of fraudulent activities. When discrepancies are spotted and investigated, it becomes more difficult for fraudulent transactions to go unnoticed.

IMPORTANCE OF RECON

A fundamental loss of control … not knowing if …

- The Settlement system has the full population of trades
- Stock or Cash has been moved from the Bank's account without one's knowledge …
- leading to …
- Actual loss arising from Human/ Systemic error or Delays and Fraudulent activity (E.g. – Mis-posted failing trade; Inaccurate Redemption posting)
- Poor Decision making arising from inaccurate information (E.g. – depot of delivery not having adequate quantity of a multi-listed security)
- Inaccurate/ Mis-stated Financial Reporting (and subsequent SOX consequences) arising from Human/ Systemic error or Delays and Fraudulent activity (E.g. – Finance/ Product/ Trading Book control teams reconcile P/L on a daily basis)
- Regulatory Censure/ Fines and subsequent Reputational impact (E.g. – breach of Client Money rules of the FSA)
- Strained Client Relationships and/ or Loss of Client Revenue through Inaccurate reporting (E.g. - a Broken trade-by-trade reconciliation could lead to Inaccurate reporting of open trades to a Tier 1 client)

TYPES OF RECON

Accurate and timely reconciliation will ensure that both the Front Office and Operations will know, with a high degree of confidence, what their asset balances are and, just as importantly, where these assets are being held.

We can consider the concept of reconciliation from two points of view:

- Comparing our internal records (our ledger) with those of an external entity (e.g. a bank statement, depot statement, broker statement etc.); - EXTERNAL RECON

- Comparing within our own internal books between different departments/ different subsidiaries – INTERNAL RECON – Intra and Inter

RECON PROCESS

Reconciliation is a Control Process wherein:

- 2 or more INDEPENDENT sets of data elements are compared and matched.
- The data elements need to be from 2 different sources.
- If the data elements do not match, the differences are referred to as a ‘BREAK’ or discrepancy.
- Breaks need to be investigated and Resolved.
- Unresolved Breaks require Escalation to Management for attention and resolution.
- The Breaks identified and the resolution process needs to be documented and reported.
- Ageing of Breaks is a key RISK Management metric to monitor the progress of Break resolution.

Breaks can be matched even though there is not an exact match as long as the break values are within the established Tolerance levels. E.g. an accepted tolerance level for currency could be 5 USD.

TYPES OF RECON

Internal Recon

Intra System Recs (Presettlement)

- Front Office Vs Middle Office
- Front Office Vs Back Office
- Middle Office Vs Back Office

Inter Company Recs

- Our Books with Subsidiaries
- Our Books Vs Group Companies

External Recon (Internal Vs External)

Depot/Stock Recs –

- Internal System with external parties
- It's a post settlement recon of Stock

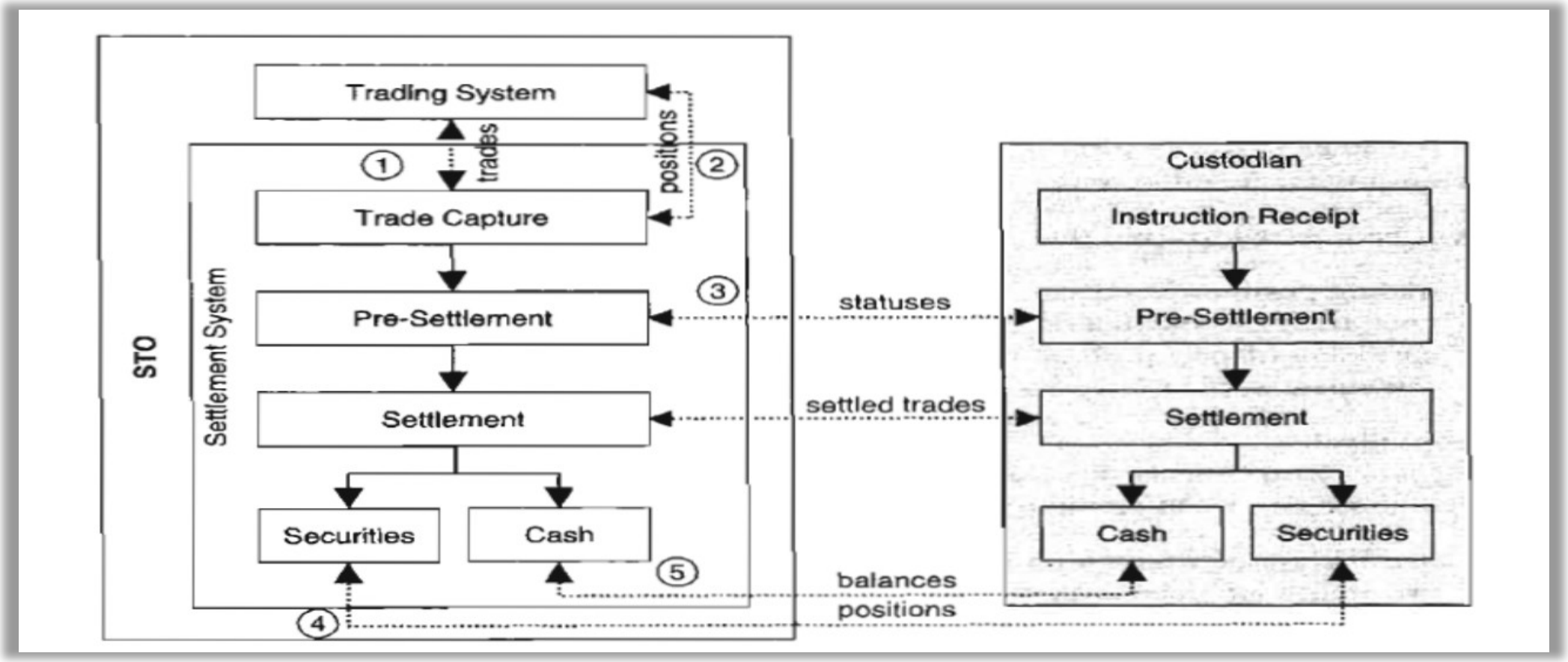
Nostro / cash Recs –

- Internal System with external parties
- It's a post settlement recon of Cash

TYPES OF RECONCILIATION

	Type	Involves	Comments
Internal Recon	1. Trade-by-trade	Individual trades	Front Office positions vs. Operations' positions
	2. Traded position	Totals of trades recorded within a trading book/for a client	Front Office positions vs. Operations' positions
External Recon	3. Open trades	Individual trades	Operations' positions vs. custodian/broker/counterparty
	4. Depot position	Totals of securities positions held within a trading book/for a client	Operations' positions vs. custodian
	5. Cash position	Cash balances and movements within a nostro account	Operations' positions vs. custodian/bank

TYPES OF RECONCILIATION



TYPES OF RECONCILIATION

- Types 1 and 2 are internal reconciliations that ensure the dealers' blotters agree with the settlement systems in the Operations Department.
- Types 3, 4 and 5 are external reconciliations:
- Type 3 handles both the asset and the cash counter-value;
- Type 4 handles non-cash assets only;
- Type 5 handles cash only.

INTERNAL RECONCILIATION - INTRA

- Internal reconciliation is very important to any investment bank to resolve breaks that arise due to feed issues between the front-office and back-office systems

Sales support trade reconciliation (FO-FO)

- Reconciliation between order management (sales system) and front office trading system

Front Office Trading to Risk Management system (FO-MO)

- Automated reconciliation of data between both the systems to make sure risk system has captured all the trades. Any missing trades have to be escalated to respective Tech department, who would make sure all the trades are captured

Front Office Trading to Operation Systems (Intra) (FO-MO-Core Ops)

- Reconciliation of data between front office and operations system is necessary to make sure all the trades are accurately captured in these systems.

INTERNAL RECONCILIATION - INTRA

Position Reconciliation

Trading system		
Book	Security	Position
Book A	Colgate-Palmolive common stock	+28,000,000
Book A	IBM Corporation common stock	+1,600,000
Book B	IBM Corporation common stock	+14,800,000
Book B	News Corporation ordinary shares	−6,000,000
Book C	Singapore Airlines shares	+8,750,000
Book D	US Treasury 6.25% 1st February 2020	+32,000,000
Book D	City of Oslo 7.0% 15th November 2018	−10,000,000
Book E	World Bank 7.5% 1st December 2018	+4,000,000*
Book E	World Bank 6.75% 15th May 2022	+12,250,000

Settlement system		
Book	Security	Position
Book A	Colgate-Palmolive common stock	+28,000,000
Book A	IBM Corporation common stock	+1,600,000
Book B	IBM Corporation common stock	+14,800,000
Book B	News Corporation ordinary shares	−6,000,000
Book C	Singapore Airlines shares	+8,750,000
Book D	US Treasury 6.25% 1st February 2020	+32,000,000
Book D	City of Oslo 7.0% 15th November 2018	−10,000,000
Book E	World Bank 7.5% 1st December 2018	+5,000,000*
Book E	World Bank 6.75% 15th May 2022	+12,250,000

INTERNAL RECONCILIATION - INTER COMPANY

1

Inter companies' transactions are the movement of positions between two Internal IB Subsidiaries that are on the back of Financial Transactions. For e.g. ABN Amro Frankfurt agrees an FX trade with BAML NY. However, the ABN Amro Trader has his Profit Centre with ABN Amro Frankfurt. This will create an Intercompany Transaction.

2

The Intercompany reconciliations will cover all the trades between multiple subsidiaries to ensure that the positions between them are accurate. For E.g. ABN Amro Frankfurt agrees an FX trade with BAML NY.

EXTERNAL RECONCILIATION WITH CUSTODIAN

Position Reconciliation

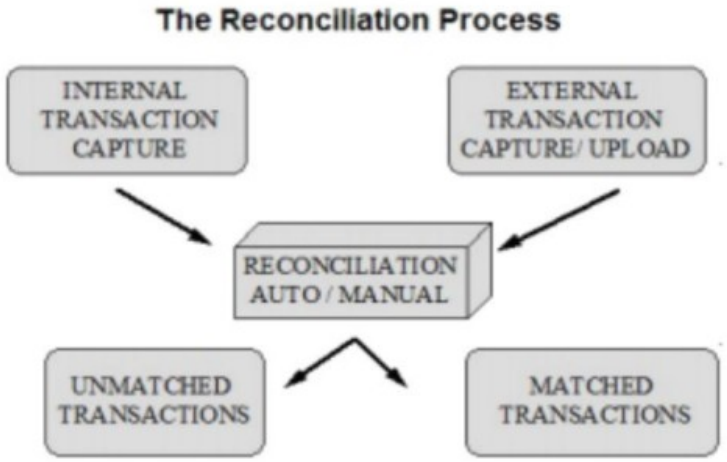
Settlement system: Custodian X main account		Statement from custodian X: STO's main account	
Security	Position	Security	Position
Colgate-Palmolive common stock	−25,000,000	Colgate-Palmolive common stock	+25,000,000
IBM Corporation common stock	−16,400,000	IBM Corporation common stock	+16,400,000
Ford Corporation common stock	−1,200,000	Ford Corporation common stock	+1,200,000
Xerox Corporation common stock	−9,000,000*	Xerox Corporation common stock	+4,000,000*

EXTERNAL RECONCILIATION WITH CUSTODIAN – NOSTRO ACCOUNT

1. In order to deal in the Foreign Exchange Market and transact in foreign currencies, banks maintain accounts with other banks globally. This is known as a Nostro Account. The Nostro reconciliations are an accounting process used to compare two sets of records to ensure that the figures are in agreement and are accurate, and is commonly used for currency settlement. Banks maintain accounts with other banks (Nostro Accounts) and it is necessary for them to reconcile Ledger account Statements with the Nostro Account Statements. The replica of Nostro account is maintained by the bank in its books or operational purposes and is known as a Nostro mirror account.

2. Ledgers: Entries generated internally (Nostro Mirror Account)

3. Statements: Entries from Nostro banks



EXTERNAL RECONCILIATION WITH CUSTODIAN – NOSTRO ACCOUNT

4

Through the process of reconciliation, banks can track the status of:

- Cash received/receivable
- Amount paid/payable
- Track unsettled transactions either in mirror or in actual Nostro accounts
- For instance, banks can ensure that their interbank cash flows from FX Spot, FX Forward, FX , Swaps, borrowings, placements, derivative have settled
- Reconciliation helps in identifying unsettled/ discrepancy and transactions and helps in quick remedial action

5

Nostro Credit entries/Statement Credit are reconciled against internal debit entries/Ledger debit.

Nostro Credit may arise due to:

- Payments received on behalf of customers
- Interest amount credited to nostro account
- Receipts from interbank deals

6

Ensure that all the receipt settlements are acted upon by the correspondent bank and are reflected in the Nostro statement accordingly

EXTERNAL RECONCILIATION WITH CUSTODIAN – NOSTRO ACCOUNT

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7

Nostro debit entries are reconciled against the internal credit entries/Ledger credit.

Nostro debits may arise due to:

- Honoring the payment messages sent by the bank/payment of draft issued by the bank
- Charges debited in the Nostro accounts
- Payments on account of interbank deals

8

Nostro Breaks Reasons –

- Investment bank makes a payment to the client but the Nostro bank does not debit the account for the payment due to insufficient cash balance in the account.
- Client pays incorrectly to the IB's Nostro account which does not match any transactions that the IB has entered into.

9

Nostro Breaks Example – Ledger and Statement Breaks examples

Ledger	Statement
(+) $1,000,000	NO ENTRIES
NO ENTRIES	(+) $7,000,000

EXTERNAL RECONCILIATION WITH CUSTODIAN – DEPOT ACCOUNT

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1

Positions are reconciled to ensure positions/holdings are matching Internally (Trading system, accounting system and risk system) and **Externally** (Accounting vs Custodian books) on a daily basis.

2

Risk of Not Performing Reconciliations Failure to perform position recon can lead to:

- Missed trade: Either the Investment manager or the custodian can miss recording trade or other transaction like dividend, interest etc. If this situation is not resolved the market value of the fund is not correct and the NAV of the portfolio can be misrepresented to clients, participants and portfolio managers.
- Booking error: Trade incorrectly booked by custodian/Investment manager (Buy v/s Sell, Incorrect quantity, price etc.).

3

Financial and reputational issues:

As the price of the security would have moved with the moving market, fixing the error at a later point in time could lead to losses and sometimes could damage the reputation.

EXTERNAL RECONCILIATION WITH CUSTODIAN – DEPOT ACCOUNT

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4

Depot Beaks Reasons –

- Securities not released to CP/Client due to insufficient shares in the depot account.
- Securities received without trade being booked into the system.

5

Depot Breaks Example –

Ledger	Statement
10,000 shrs of Tesla Cr.	9,500 shrs of Tesla Dr.
NO ENTRIES	5,150 shrs of Apple Cr.

EXCHANGE AND OTC RECONCILIATION

1. Exchange Reconciliation

This type of reconciliation is done between Middle Office and stock exchange systems. This is to ensure that no order (parent or child order) is missing in the bank's internal system. If orders are missing - this reconciliation will highlight any missing orders and the MO team has to work with FO Tech to ensure all trades have flown down into the systems.

2. OTC Reconciliation

There are several reconciliations done when an IB enters into an OTC transaction.

- First the trade needs to be reported to the CCP within 15 - 30 mins. of entering into the transaction.
- At EOD all transactions that were reported at BOD are reconciled to ensure that no transactions are missing.

WHY RECONCILIATION?

As we have discussed, a large financial institution does numerous types of reconciliation from Front Office to Back Office.

Now let's look at the reasons why Reconciliation is so important:

- Avoiding Fraud - at all steps in the trade life cycle.
- Accuracy of cash and stock movements.
- Balancing investment positions.
- Portfolio Management
- Ensuring accuracy of Trades throughout the life cycle of a trade.
- Managing Settlement and Reconciliation Risks
- Matching Bank Statements with Internal Records
- Detecting Errors and Unaccounted Transactions



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